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What's News

Business & Finance

- ◆ **The Fed raised** interest rates for the first time in three years, a sharp reversal that began taking back cuts it made last year and implicitly undercut the White House's insistence that inflation isn't a concern. **A1, A2**
- ◆ **Stocks mostly slumped** and the 10-year Treasury yield settled above 5% for the first time since July 2007 following the central bank's rate increase. The Nasdaq was little changed and the S&P 500 and Dow fell around 0.4% and 1.2%, respectively. **A1**
- ◆ **BlackRock said** it would work with corporate clients to build customizable funds for 401(k) plans that can include slices of public stocks and bonds, private assets and annuities. **B1**
- ◆ **ExxonMobil and** billionaire oil baron Harold Hamm were close to signing preliminary deals to explore investments in several Venezuelan oil fields. **B1**
- ◆ **Amazon Web Services** said it was unable to restore access to some customer data hosted in Persian Gulf centers that were struck by Iranian drones in the spring. **B1**
- ◆ **Novo Nordisk**, the maker of the diabetes and weight-loss drugs Ozempic and Wegovy, is collaborating with Anthropic to use artificial intelligence for drug research. **B1**
- ◆ **The House passed** a bill to compel automakers to provide AM radio in their vehicles, a service that emergency responders have championed as a safety backup. **B1**
- ◆ **ByteDance reported** that its revenue rose more than 30% to \$120 billion in the first half, buoyed in part by the resolution of U.S. regulatory concerns about its TikTok business. **B4**

Worldwide

- ◆ **Top White House aides** have been divided on approaches to AI safety, with chief of staff Susie Wiles and Treasury Secretary Scott Bessent urging a greater hands-on attitude than adviser David Sacks advocates. **A1, A5**
- ◆ **The EU's top official** said she would work to make Canada the bloc's first associate member as traditional U.S. allies forge independent bonds with one another. **A7**
- ◆ **States haven't yet** been able to obtain Covid-19 shots from the CDC, delaying their distribution to millions of children through federal programs. **A3**
- ◆ **An international tribunal** convicted the former president of Kosovo of war crimes during the separatist war against Serbia and sentenced him to 25 years in prison. **A10**
- ◆ **A top Democrat said** he would oppose Trump's planned \$2.8 billion military-aid package for Israel, saying it raised grave concerns about how the heavy bombs would be used in densely populated areas of Gaza and Lebanon. **A4**
- ◆ **Debris found in Yemen** indicates that Saudi Arabia fired a Chinese-made ballistic missile in combat for the first time, Yemeni officials and weapons experts said. **A6**
- ◆ **The House voted** to hold Leon Black in contempt of Congress following his refusal to comply with committee subpoenas related to his ties with Jeffrey Epstein and nondisclosure agreements. **A4**
- ◆ **Died: Annie Dillard**, 81, Pulitzer Prize-winning writer. **A5**
- ◆ **Peter Max**, 88, artist who epitomized the pop era. **A5**

CONTENTS	Markets..... B9
Arts in Review..... A14	Opinion..... A15-17
Business & Finance..... B2	Personal Journal A11-12
Business News..... B3	Sports..... A18
Crossword..... A12	Technology..... B4
Heard on Street..... B10	U.S. News..... A2-5
Market Data..... B6	World News A6-7, A10



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Fed Delivers First Rate Hike in 3 Years

After a unanimous vote, most officials pencil in one more increase in 2026

By NICK TIMIRAOS

WASHINGTON—The Federal Reserve raised interest rates Wednesday for the first time in three years, a sharp reversal that began taking back cuts it made last year and implicitly undercut the White House's insistence that inflation isn't a concern.

The increase, approved unanimously, will raise the benchmark federal-funds rate range by a quarter point to between 3.75% and 4%. The vast majority of officials penciled in one more increase this year in interest-rate projections released after their meeting. Chairman Kevin Warsh vowed shortly after taking office in May to end an overshoot of the Fed's 2% target now in its sixth year and followed through with an increase that had been widely anticipated in recent days. "Today's action starts to

show that we're serious about this," Warsh said at a news conference. The Fed's policy statement said its action would support a "timelier" return to the inflation goal. The rate increase scrambled an account the White House had offered of the man tapped by President Trump for the job in January. Trump and his allies had cast pressure to raise rates as coming from a committee hostile to Warsh, who last year said he would have cut rates sooner than the Fed ultimately did. It also followed a lost year in

the Fed's inflation fight. The central bank has made no progress toward its 2% goal since mid-2025, including after cutting rates three times late last year to guard against a labor-market slowdown. Instead, the Iran war has lifted energy prices, and the AI boom has driven an investment surge that has buoyed the economy and markets. Analysts had said that despite intense focus of late on monthly inflation data, the biggest change to the outlook has come from a run-up in energy and commodity prices.

"It's the fact that the war in Iran has re-intensified and the energy price shock is getting bigger again," said William Dudley, the former New York Fed president. Diesel prices have climbed toward record highs, worsened by a refining bottleneck that Ukrainian strikes on Russian energy infrastructure have deepened. Crude around \$100 a barrel understates what businesses are actually paying; Diesel is behaving as though oil were at \$200, said Dudley. Costs are working into shipping *Please turn to page A2*

Mexico Celebrates Its Independence Day



¡VIVA, MEXICO! President Claudia Sheinbaum marks the 216th anniversary of the start of the Mexican War of Independence against Spain on Wednesday in Mexico City. Celebrations began with the cry of '¡Viva, Mexico!' three times just after midnight.

AI Sparks Divide Among Trump Aides

By JOSH DAWSEY
AND AMRITH RAMKUMAR

After White House artificial intelligence adviser David Sacks got President Trump to scrap a planned executive order in May that would subject AI models to an extended government review, senior administration officials including Scott Bessent and Susie Wiles were caught off guard and unhappy. Wiles, the White House chief of staff, told others that Sacks had convinced him to do so in a last-minute call, people famil-

iar with the matter said. Treasury Secretary Bessent worried that AI-led cyberattacks could wreak havoc on the nation's banking system, the people said. A White House team had spent months negotiating to increase oversight of AI and had consulted a range of industry executives on the order. At the urging of Wiles and Bessent, Trump later signed a slimmed-down version of the order. Even as Trump dismisses calls for tighter federal regulation of the industry, the quiet

freakout among some of his most senior aides over what could be one of the administration's most consequential policy decisions has begun. In the months since the dispute, Wiles, Bessent and other officials have gathered almost daily to discuss risks in the sector and plot potential guardrails, the people said, while trying to persuade Trump to take a more hands-on approach. White House officials have regularly held calls with executives including OpenAI's Sam Altman and

those at Anthropic to discuss concerns. The divide among Trump's AI advisers—both inside and outside the government—continued in the weeks since, with Wiles, Bessent and National Cyber Director Sean Cairncross often pushing for *Please turn to page A5*

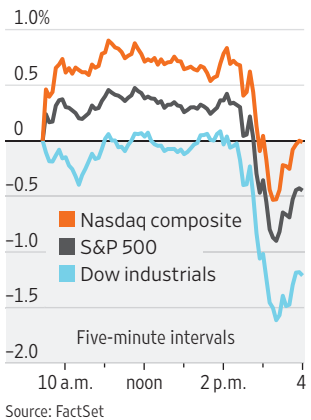
◆ **Business leaders cite concerns over AI risks....** A5
◆ **OpenAI reports more safety incidents.....** B1
◆ **Heard on the Street: AI has to slow down.....** B10

Markets Slump As Warsh Warns on Inflation

By HANNAH ERIN LANG
AND SAM GOLDFARB

Federal Reserve Chairman Kevin Warsh made it clear that inflation is still a problem. Wall Street was left wondering how far the Fed will go to address it. Stocks slumped and the 10-year Treasury yield settled above 5% for the first time since July 2007 after Warsh struck a decidedly hawkish tone in remarks following the central bank's decision to raise interest rates for the first time in three years. "Inflation is too high and has been for too long," Warsh said in remarks to reporters on Wednesday afternoon. He later added: "Today's action starts to show that we're serious about this." At first, markets greeted the Fed's rate hike with relief; President Trump had argued rates *Please turn to page A2*

Index performance Wednesday



◆ **What rate boosts mean for costs.....** A2

Iran Hits Wall in Bid To Skirt Blockade

By BENOIT FAUCON
AND HAMRAZ BAYAN

Iran vowed to respond to a U.S. blockade by pushing more trade overland. On the ground, it isn't going according to plan. Hundreds of Iranian truck drivers are stuck at Iran's border with Pakistan, unable to move their goods. They say they are facing worsening bureaucratic hurdles and costs, many caused by their own government. The same thing is happening at Iran's land borders with Turkey, Turkmenistan and Afghanistan, dealing Tehran a self-inflicted blow and throttling trade through its few remaining economic release valves. Tons of stranded apricots *Please turn to page A6*

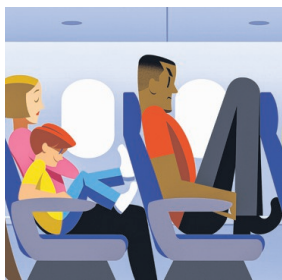
- ◆ **Two Iowa GOP lawmakers** defy Trump on war..... A4
- ◆ **Saudi Arabia is linked** to Chinese missile..... A6
- ◆ **AWS can't restore data** from sites Iran struck..... B1

INSIDE



DANIEL VERGARA/WSJ

WORLD NEWS
Russia's shadow fleet is sailing in NATO's blind spot: Irish waters. **A7**



PERSONAL JOURNAL
Getting downgraded from a seat you paid for is becoming a bigger issue for travelers. **A11**

Nothing Blows Up a Parent Group Like a Fight Over School Snacks

A viral tale about Oreo jealousy was a hoax. The wars over sweets in class are very real.

By SABRINA SIDDIQUI

By now, much of the internet has heard of Oreo-gate: a viral social-media saga in which a kindergarten mother named Michelle asks other moms in a group chat to stop sending Oreos in their chil-

dren's lunches because it was making her daughter jealous. The drama escalated quickly. The other moms rejected the request. Some sent in Oreos in an act of defiance. Side chats splintered off. The school was forced to weigh in. *Sugar clash Please turn to page A12*

Elon Musk Roils U.K. Politics With His X Megaphone

New anti-immigration party benefits from his tweets; 'civil war is inevitable'

LONDON—On the eve of becoming the world's first trillionaire, Elon Musk was fixated on political turmoil an ocean away from SpaceX headquarters.

By Jenny Strasburg,
Jaclyn Jeffrey-Wilensky
and Max Colchester

In one X post, he called the mayor of Belfast a "betrayal of her people." In another, he called a British political leader "a scumbag and a traitor." And a post from a once-obscure politician named Rupert Lowe—whose nascent far-right party Musk had declared the only hope for salvaging Britain's future—got more than three million views after Musk retweeted it. The X-storm took place on

June 11, in the wake of violent anti-immigration riots in the Northern Ireland capital—and one day before SpaceX's IPO. For years, Musk has used his social-media megaphone to boost antiestablishment parties outside the U.S., railing against "woke" politics, immigration and tech industry-regulation across Europe, South America and Africa. But no other foreign nation has drawn such frequent, sustained attention from the world's richest man as the U.K., according to a Wall Street Journal analysis of 4½ years' worth of his posts on X. Musk has twice exceeded 200 monthly posts about British politics and culture wars, though the volume waxes and wanes with the *Please turn to page A10*